tazdan

02 · CORPORATE STRUCTURE

Corporate structure and governance

How the group is organised, how money moves between companies, who decides what, and how the proposed investment changes ownership.

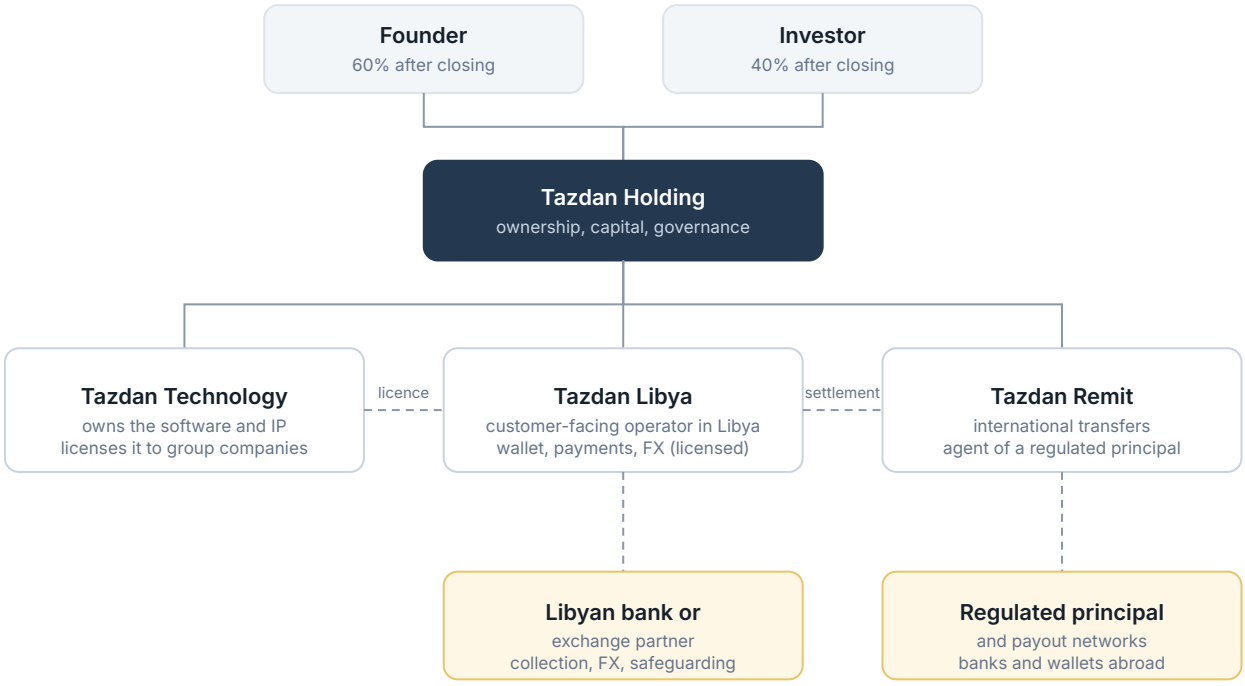
Investor pack	Date	Status
Document 02	October 2026	Confidential · for discussion

Prepared by the founder of Tazdan for prospective investors. This document is not an offer to sell or a solicitation to buy securities. Forecasts are planning estimates, not promises. Licences, banking partners and live payment rails are not yet in place; status labels throughout show what is built, what awaits a partner, and what is switched off in production.

GROUP STRUCTURE

Four companies, each with one job

Tazdan separates the software from the regulated businesses that use it. A holding company owns three subsidiaries. A technology company owns the code. A Libyan operator serves customers under its own permissions or a partner's. An international remittance company pays recipients abroad through regulated networks.



Solid lines: ownership. Dashed lines: contracts. Amber boxes: outside partners to be signed. No entity has been formed yet; the holding-company jurisdiction will be chosen with counsel once receiving banks have reviewed the ownership and funding route.

Why this shape

- **Licences match activities.** Each regulated business holds exactly the permissions its activity needs, and no more.
- **The IP is protected.** The code sits in a company that never holds customer money, so it is insulated from operating risk.
- **Banks can see who owns what.** Ownership is disclosed at every level, which partner banks and regulators require.
- **Corridors can be added one at a time.** New countries attach to Tazdan Remit without changing the Libyan business.
- **Software can be sold separately.** Tazdan Technology can license the platform to banks and payment providers outside the group.
- **Investors get clear options.** Each company can raise money, partner or be sold on its own terms.

ENTITY ROLES

What each company does

COMPANY	PURPOSE	EARNS	HOLDS CUSTOMER MONEY	PERMISSION NEEDED
Tazdan Holding	Owns the subsidiaries, raises capital, appoints boards, sets group policy.	Dividends	No	Ordinary incorporation
Tazdan Technology	Owns the code, brand and data model. Builds, hosts and supports the platform for group companies and outside institutions.	Licence and service fees; software subscriptions	No	Ordinary incorporation; outsourcing and data terms with each client
Tazdan Libya	Contracts with Libyan customers. Runs wallets, payments and conversion, either directly or through an approved local partner.	Transfer fees and FX margin	Yes, safeguarded at a partner bank	CBL authorisation, or operation under an authorised partner
Tazdan Remit	Pays recipients abroad and, later, collects from senders abroad. Serves customers who never hold a Tazdan wallet.	Corridor fees and FX margin	Yes, in transit	Agent of a regulated principal first; own licence later where justified

Agreements between the companies

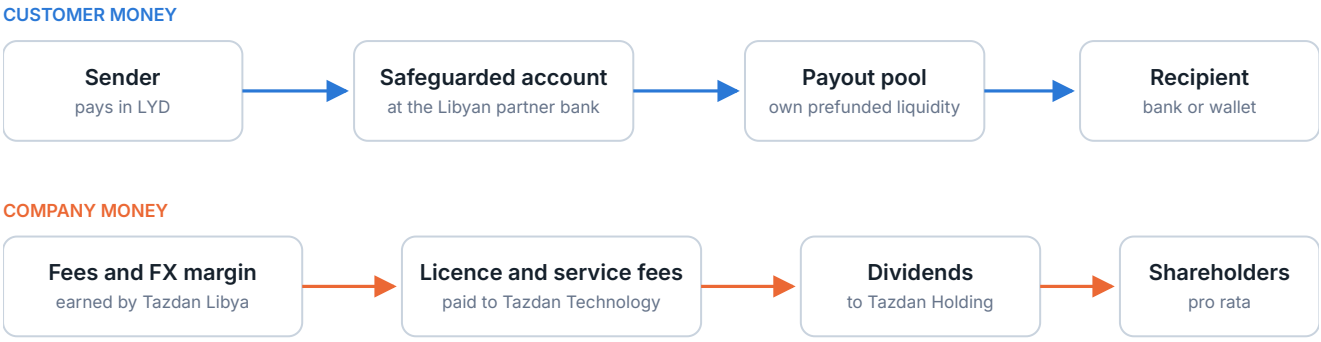
AGREEMENT	BETWEEN	WHAT IT COVERS
IP assignment	Founder → Tazdan Technology	Transfers all code, designs, trademarks and documentation at closing, with a schedule of third-party components and their licences.
Software licence and services	Technology → Libya and Remit	Platform access, hosting, support levels, security duties, data processing and an arm's-length fee.
Settlement and liquidity	Libya ↔ Remit	Exact obligations per transfer, agreed rates and timestamps, netting rules, credit limits, collateral, settlement dates and default terms.
Brand licence	Technology → subsidiaries	Use of the Tazdan name and marks in each market.
Shared services	Holding → subsidiaries	Finance, legal, people and compliance services at cost plus an agreed margin.

Intercompany fees move profit between group companies; they do not add to consolidated revenue. Transfer-pricing treatment will follow local rules in each country.

MONEY FLOWS

Customer money and company money never mix

Every customer balance is a liability. At launch it will sit in a safeguarded account and be reconciled every day against bank and custody statements. Company revenue follows a separate path. The platform's double-entry ledger, balanced and enforced by the database, already keeps the two apart.



Customer money never funds operating costs, other entities or the group's liquidity. Payout pools are refilled with the company's own capital or an agreed settlement facility. Intercompany fees are set at arm's length and recorded per transaction.

Settling between the two operating companies

Money does not have to cross a border for every customer payment. Each company pays out locally from a prefunded pool, records exactly what it is owed, and the companies settle the net amount on agreed dates.

EVENT (ILLUSTRATIVE RATE: GBP 1 = LYD 8)	WHAT HAPPENS LOCALLY	BETWEEN THE COMPANIES
A sender in Libya pays LYD 8,000 for a UK recipient	Libya collects LYD; Remit's UK partner pays GBP 1,000 from its pool	Libya owes Remit GBP 1,000
A sender in the UK pays GBP 600 for a Libyan recipient	Remit collects GBP; Libya pays LYD 4,800	Remit owes Libya GBP 600
Netting on the settlement date	Both customer payments stay individually recorded	Libya pays Remit the net GBP 400

One-way flow needs capital. Libya-to-abroad volume will exceed the reverse flow for a long time. Payout pools therefore drain and must be refilled through an approved banking route, using the company's own capital or a settlement facility. The financial model sizes this as settlement prefunding. Netting depends on the contracts and on rules in each country; it is not assumed simply because both companies share an owner.

GOVERNANCE

Who decides what

Board of Tazdan Holding (proposed)

SEAT	NUMBER
Founder appointees, including the chief executive	2
Investor appointees	2
Independent director, chairing audit and risk	1

Committees

- **Audit and risk:** financial statements, safeguarding, reconciliation, external audit.
- **Compliance:** AML, sanctions and customer due diligence. The compliance officer reports to it directly.
- **Remuneration:** pay, option grants and senior hires.

Reserved matters (investor consent)

- New shares, option-pool changes or new share classes
- Sale of the company, a subsidiary or the IP
- Borrowing or guarantees above an agreed limit
- Annual budget and business plan
- Entering a new country or regulated activity
- Related-party transactions, including founder arrangements
- Changes to auditors or to the safeguarding arrangements

Controls already built into the platform

Maker-checker approval for ledger adjustments, refunds and FX overrides; 12 staff roles with 49 permissions; kill switches by feature, currency, corridor and provider; and an append-only audit log.

Board composition and reserved matters are proposals for the term sheet. A 50/50 ownership split would need an agreed deadlock procedure; the 40% proposal avoids one.

CAPITALISATION

Ownership before and after the proposed investment

The founder proposes an $18M transaction for 40% of the company after closing. $10M is new capital for the company, and $8M buys existing shares from the founder. Both portions are priced the same.

$18M
Total investment

40%
Investor ownership after closing

$45M
Implied post-money equity value

$35M
Implied pre-money equity value

SHAREHOLDER	BEFORE	NEW SHARES (PRIMARY)	SHARES BOUGHT FROM FOUNDER	AFTER
Founder	100.0%	—	(17.8%)	60.0%
Investor	—	22.2%	17.8%	40.0%
Proceeds		**$10M to the company**	**$8M to the founder**	**$18M**

Option pool

A pool of 8–10% for key hires is recommended. Its size, and whether it sits before or after the investment, belongs in the term sheet. For example, a 10% pool created after closing and shared pro rata would leave the founder at 54% and the investor at 36%.

Assumptions

The founder holds 100% of fully diluted equity today, with no debt, preference shares or options outstanding. Figures are before fees and taxes. The table will be rebuilt on the actual share register before signing.

Formation sequence (first 120 days after a signed term sheet)

1. **Investor onboarding.** Identity, beneficial ownership and source of funds for each investing party, then a review by the receiving bank before any money moves.
2. **Holding and technology companies.** Incorporation in the chosen jurisdiction, with bank accounts and the IP assignment from the founder.
3. **Closing.** Shareholder agreement, board appointments, the option pool and both payments: primary to the company, secondary to the founder.
4. **Tazdan Libya.** CBL application route or partner agreement, safeguarding account and pricing approval.
5. **Tazdan Remit.** An agent agreement with a regulated principal for the first corridor, plus the settlement and liquidity agreement with Tazdan Libya.

Holding-company jurisdiction is open. Candidates such as the UAE's ADGM or DIFC common-law centres, the UK, or Libya itself will be compared on bank acceptance of the ownership and funding route, access to regulators, investor familiarity, cost and tax. Incorporation alone confers no permission to provide payment services in any country.